To: Board of Directors, Riveredge Owners, Inc.
From: Peter Merson, Shareholder — Apt 8T
Date: April 2026

Re: Objection to the Proposed $1,020,324 Special Assessment

I am writing to formally object to the proposed special assessment of $12 per share ($1,020,324 building-wide) scheduled to begin July 2026. The following facts, drawn entirely from Riveredge's own audited annual financial statements and board-issued notices, demonstrate that this assessment is not justified at this time.

- **The building has been in continuous surplus since 2006.**

  Following the record 17% maintenance increase of April 2006, Riveredge ran a net income surplus in 17 of the subsequent 18 years, accumulating over $5.5 million in net income. Shareholders have effectively been funding a growing reserve for nearly two decades. The funds necessary for the current repair program have already been collected — many times over.

- **Current liquidity is at a near-record high and far exceeds every recognized standard.**

  As of year-end 2024, total cash and equivalents stand at $1,976,793 — or $12,511 per unit and $23.25 per share. The Westchester County "solid adequate" benchmark is $3,500–$5,000 per unit. Riveredge currently holds 2.5× the high standard and 3.6× the low standard. No recognized benchmark supports an assessment at this level of liquidity.

- **Shareholders are already absorbing substantial cost increases.**

  Board-announced maintenance and fee increases since 2023 will generate approximately $251,872 in additional annual income by 2026 versus the 2023 baseline — before a single dollar of assessment is collected. This ongoing income stream is more than sufficient to fund routine and anticipated capital needs.

- **The Board has not fulfilled its budgeting obligations under the by-laws.**

  Article II, Section 6 requires the Board to prepare and present an annual budget to shareholders detailing anticipated cash needs. This has not been done. Shareholders are entitled to understand the specific projected costs that necessitate this assessment before being asked to fund it.

Given these facts — record liquidity, continuous surplus since 2006, substantial ongoing fee increases, and the absence of a detailed budget justification — the proposed $1,020,324 assessment

is unnecessary at this time.

I respectfully request that the Board:

1. Place the proposed assessment on hold immediately.
2. Fulfill its by-law obligation under Article II, Section 6 by presenting a detailed budget showing specific projected expenditures and their timing.
3. Monitor the total cash and reserve balance and notify shareholders when — and if — it approaches $750,000, at which point a reassessment of need would be appropriate.

The financial health of this cooperative and the value of every shareholder's apartment is best served by sound, transparent, and justified financial decisions — not by the accumulation of cash reserves that already far exceed any recognized standard of adequacy.

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